

Affinity Bias

Bias type: Emotional

Affinity bias refers to an individual's tendency to make irrationally uneconomical consumer choices or investment decisions based on how they believe a certain product or service will reflect their values. Accumulators sometimes succumb to this bias.

Simple diagnostic for affinity bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I invest in companies that make products I like or companies that reflect my personal values.

Answering 3 to 5 shows a tendency towards affinity bias.

Illusion of Control Bias

Bias type: Cognitive

The illusion of control bias occurs when investors believe that they can control or, at least, influence investment outcomes when, in fact, they cannot. Accumulators who are subject to illusion of control bias believe that the best way to manage an investment portfolio is to constantly adjust it. For example, trading-oriented Accumulators who accept high levels of risk, believe themselves to possess more “control” over the outcome of their investments than they actually do because they are “pulling the trigger” on each decision.

Simple diagnostic for outcome bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I am more likely to have a better outcome if I make my own investment choices rather than relying on others.

Answering 3 to 5 shows a tendency toward outcome bias.

Outcome Bias

Bias type: Cognitive

Outcome bias refers to the tendency of individuals to decide to do something—such as make an investment in a mutual fund—based on the outcome of past events (such as returns of the past five years) rather than by observing the process by which the outcome came about (the investment process used by the mutual fund manager over the past five years). Accumulators often are prone to outcome bias.